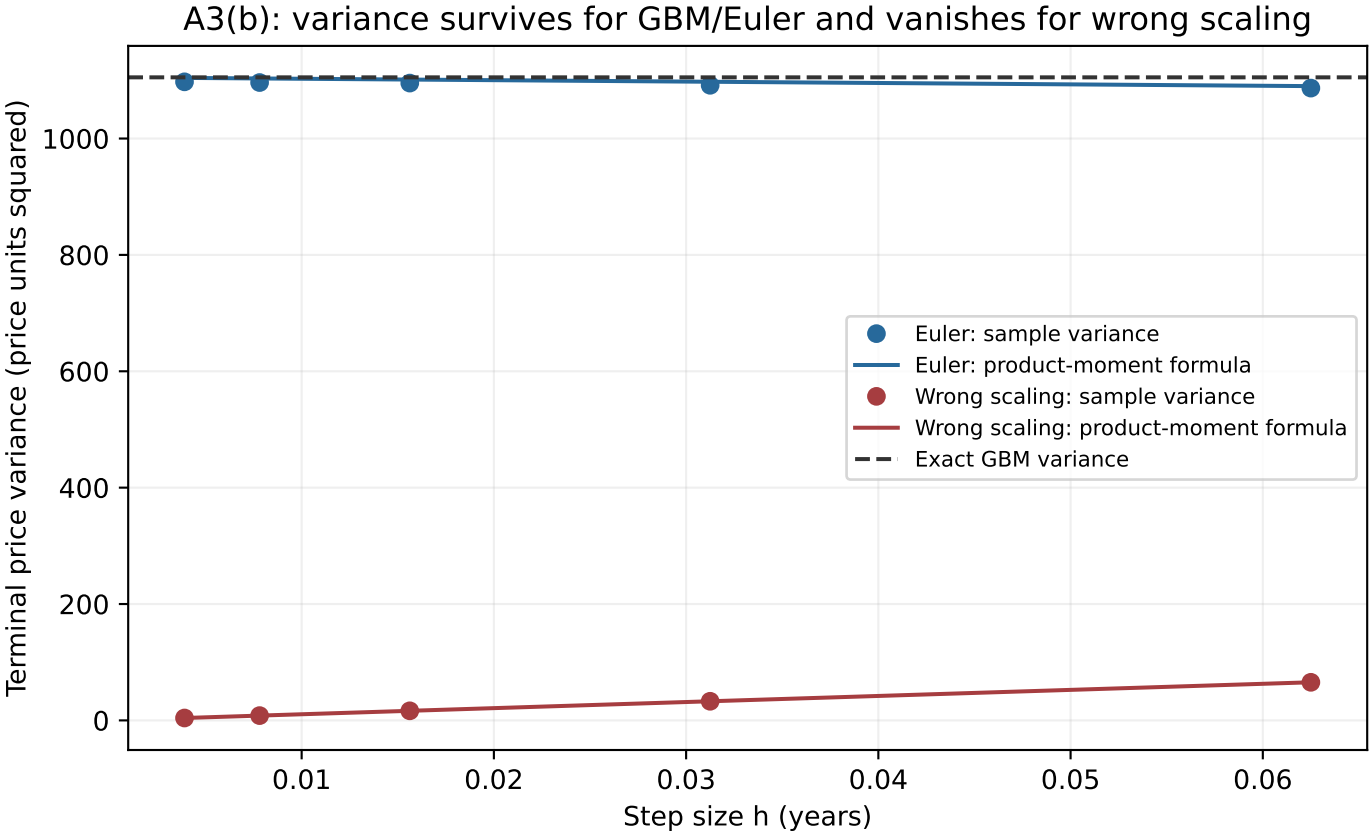
A3(b): variance survives for GBM/Euler and vanishes for wrong scaling
Terminal price variance (price units squared)
Step size h (years)
0
200
400
600
800
1000
0.01
0.02
0.03
0.04
0.05
0.06
Euler: sample variance
Euler: product-moment formula
Wrong scaling: sample variance
Wrong scaling: product-moment formula
Exact GBM variance